

Does Higher GDP per Capita Predict Longer Life Expectancy?

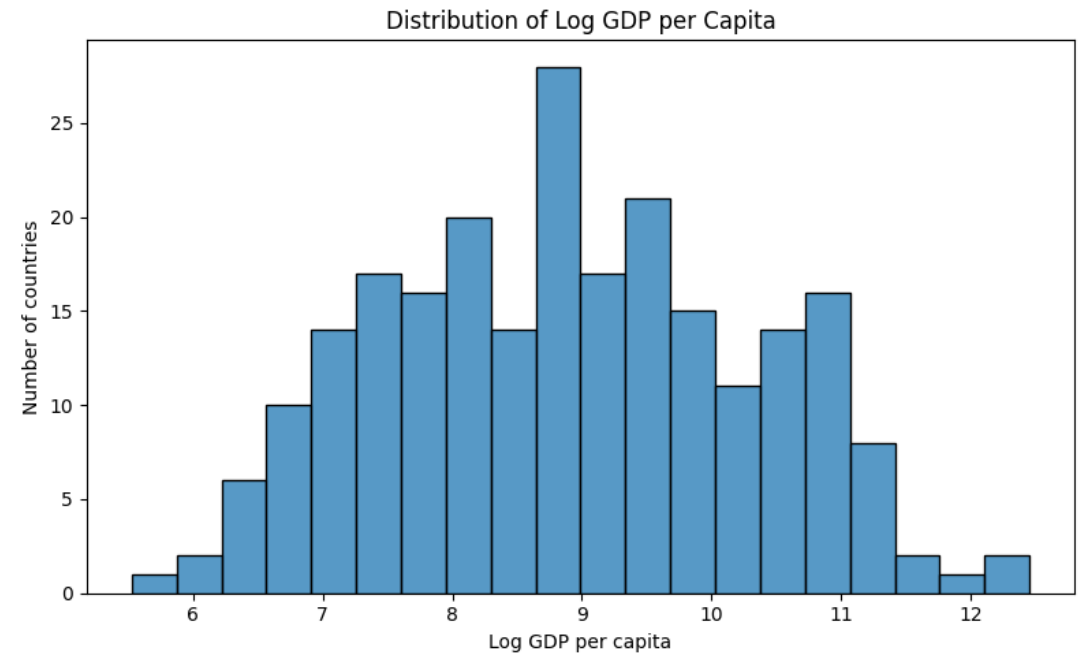
Xinyu Wu & Hanchen Zhu

Data Source:

World Bank DataBank, World Development Indicators
<https://databank.worldbank.org/source/world-development-indicators>

$$\text{Life Expectancy} = \beta_0 + \beta_1 \log(\text{GDP per capita}) + \beta_2 \log(\text{Health expenditure per capita}) + \text{error}$$

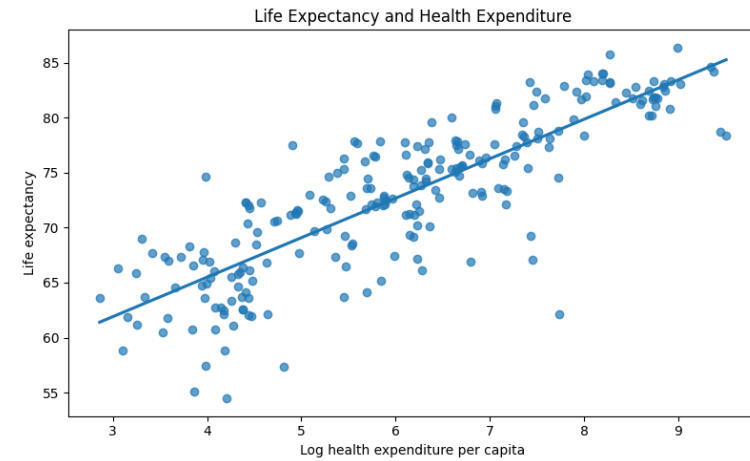
We control for health expenditure because it is another health-related factor that may affect life expectancy.



$$\text{Life Expectancy} = 34.411 + 4.275 \log(\text{GDP per capita})$$

The GDP coefficient decreases from 4.275 to 3.684 after adding health expenditure, showing that health spending explains part of the GDP-life expectancy relationship.

$$\text{Life Expectancy} = 36.9955 + 3.6838 \log(\text{GDP per capita}) + 0.5281 \log(\text{Health expenditure per capita})$$



Conclusion

GDP per capita is strongly and positively associated with life expectancy.
 After controlling for health expenditure, GDP per capita remains statistically significant.
 GDP per capita still matters for life expectancy even when we account for health spending.